Sl. No. 1

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI SPECIAL BENCH
(Virtual Hearing)

PRESENT: SHRI RAJEEV BHARDWAJ – MEMBER (JUDICIAL)
: SHRI SANJAY PURI – MEMBER (TECHNICAL)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 10.01.2024 AT 10:15 A.M.

TC/CP. Nos.	CA/IA No.	Section / Rule	Name of Parties
CP(CAA)/3/230/AMR/2023		230	Sri Vasavi Industries Limited (Transferor Company)

ORDER

Mr. Ganga Anil Kumar, Ld. PCS for the Petitioner Company present.

Orders pronounced. CP(CAA)/3/230/AMR/2023 is allowed, vide separate sheets.

Sd/-
SANJAY PURI
MEMBER (TECHNICAL)

Sd/-
RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Swamy Naidu (PS)

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI SPECIAL BENCH

CP (CAA) 3/230/AMR/2023
Connected with
CA (CAA) 8/230/AMR/2022

In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Amalgamation between SRI VASAVI INDUSTRIES LIMITED, Transferor Company (having its registered office in Andhra Pradesh) and RAJADHIRAJ TIRUPANI VINAYAK NATRAJ PRIVATE LIMITED (Transferee Company) (having its registered office in West Bengal)

In the matter of

Sri Vasavi Industries Limited,
(CIN: U27109AP1985PLC005259)
Registered office at V R Agraharam,
Rajam, Andhra Pradesh -532127.

... Petitioner /Transferor Company

Date of pronouncement of order: 10.01.2024

CORAM

SHRI RAJEEV BHARDWAJ, MEMBER (JUDICIAL)
SHRI SANJAY PURI, MEMBER (TECHNICAL)

Appearance:

For the Petitioner : Mr.Manoj Kumar Banthia, ACS

ORDER
(***Per: Bench***)

1. The present Company Petition is filed by M/s. Sri Vasavi Industries Limited ("SVIL"), Petitioner/Transferor Company under Sections 230 & 232 of the Companies Act, 2013 seeking to permit the Transferor Company for Scheme of Arrangement (the Scheme for short) with

Rajadhiraj Tirupani Vinayak Natraj Private Limited ("RTVNL") Transferee Company.

2. The Petitioner/Transferor Company registered office is situated at Andhra Pradesh and Transferee Company registered office is situated at West Bengal.

3. The Petitioner Company has filed the first motion application bearing CA(CAA)/8/230/AMR/2022 before this Tribunal seeking for:

   i) to convene and hold the meetings of Unsecured Creditors and Equity Shareholders of the Petitioner/Transferor Company.

   The first motion application was disposed of by order dated 06.01.2023, the meetings of Equity Shareholders and Unsecured Creditors of the Petitioner Company were to be convened on 17.02.2023 for which the chairpersons and scrutinizers were also appointed.

4. M/s.Sri Vasavi Industries Limited (CIN: L27109AP1985PLC005259), Petitioner/Transferor Company was incorporated on 22.01.1985 under the Companies Act, 1956 in the name and style of Sri Vasavi Steel Industries Private Limited and the status of the company was changed from Private Limited to Public Limited. The Authorised Share Capital as on 31.03.2022, was Rs.65,00,00,000/-, divided into 6,50,00,000 equity shares of Rs.10/- each and the issued, subscribed and paid-up share capital is Rs.15,00,00,000/- divided into 1,50,00,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of manufactures, producers, re-rollers, importers, exporters, dealers, either retail or wholesale of steel, copper, aluminum,

ferrous and non-ferrous metals, distributors of all kinds of metals, billets, ingots, scrap, etc. The entire share capital of the Petitioner/Transferor Company has been transferred to the Transferee Company and hence, the Petitioner Company is the wholly owned subsidiary of the Transferee Company.

5. Brief facts leading to the filing of present case are as follows:

i. The Corporate Insolvency Resolution Process (CIRP) has been initiated against the Petitioner Company and vide order dated 10.11.2021, this Tribunal approved a Resolution Plan for its revival. As on the date of approval of the Resolution Plan, SVIL was engaged in the business of manufacturing and dealing in Ferro alloys of all kinds and its plant is located at Bishnupur in the state of West Bengal.

ii. In terms of the Resolution plan, the Resolution applicant was required to infuse funds to the extent of Rs. 10.30 Crores besides share capital of Rs.15 crores in SVIL. Such funds were brought in SVIL by the Resolution Applicant through RTVNL (Transferee Company).

iii. RTVNL is engaged in the business of dealing and trading in Ferro Alloys directly and manufacturing and dealing in Ferro Alloys through its subsidiary. RTVNL, though, engaged in dealing and trading in Ferro Alloys and has good amount of turnover and profit therefrom, it does not have any manufacturing facility. This amalgamation would pave better opportunities for RTVNL by way

of backward integration to be extent possible. On the basis of experience of running this manufacturing facility of SVIL, RTVNL will be able to move further ahead in setting up more such facilities.

iv. According to the Petitioner Company, it is the case of the Scheme of Amalgamation (Merger) with Transferee Company. The Petitioner Company and their respective shareholders whereby and whereunder the entire undertaking of the Petitioner Company with all assets and liabilities relating thereto as a going concern is proposed to be transferred to and vested in the Transferee Company. The Transferee Company RTVNL are in the same business of the Petitioner Company but the Transferee Company does not have manufacturing facility, this amalgamation would have better opportunities for Transferee Company by way of backward integration to the extent possible. The synergies created by the amalgamation would increase the operational efficiency and integrate business functions, reduce the managerial overlaps involved in operating different entities, ease and increase operational and management efficiency and integrate business functions and it would be the best interests of the shareholders of the Petitioner Company.

v. The Board of Directors of the Petitioner Company, in the Board Meeting held on 19.10.2022 have approved the Scheme of Amalgamation with appointed date as 10.11.2021, subject to the approval of their shareholders and creditors.

vi. No investigation or proceedings have been instituted or are pending in relation to the Petitioner Company.

6. As per Chairperson, Mr. Ambati Varun's report dated 22.02.2023, the scheme has been unanimously approved by the Equity Shareholders of the Petitioner Company with 100% voting, Chairperson Mr. Samireddy Sai Sarat Chandra's report dated 03.03.2023, the Scheme has been unanimously approved by the Unsecured Creditors of the Petitioner Company with 100% voting. The scheme of arrangement was approved by the board of directors and others.

7. The Valuers Report dated 18.10.2022, issued by Mr.Riteek Baheti, Registered Valuer confirming that the fair equity share exchange ratio for the proposed merger of SVIL with RTVNL is 3 (three) equity share of RTVNL of Rs.10/- each fully paid up for every 100 (One Hundred) equity shares of SVIL of Rs.10/- each fully paid up.

8. As per the section 230 (7) of the Act, the certificate dated 22.10.2022 issued by the Statutory Auditors of the Transferee Company M/s. Hiren Buch Associates certified that accounting treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under Section 133 of the Act.

9. In the second motion proceedings, certain directions were issued by this Tribunal vide order dated 29.03.2023 and the same were complied with by filing an affidavit of service by dairy No.2092 dated 18.04.2023. It has also stated in the affidavit that the copies of notices were served upon the (a) Regional Director (SER), Hyderabad, MCA by Speed Post;

(b) Registrar of Companies, AP, MCA and (c) Income Tax Department by way of hand delivery and all the postal track consignment and acknowledgment receipts evidencing the delivery of notices are also attached to the affidavit.

10. Heard the Learned Counsel appearing for the Petitioner, RD and OL and perused the records.

11. The Regional Director (RD) filed his report dated 28.08.2023 and raised the following objections and the Petitioner Company replied to the same as detailed below:

S.No.	RD's Observations	Reply of the Petitioner Companies by way of affidavit dated **11.09.2023**
1	The Directorate has received letter dated 05.06.2023 from the ROC, Andhra Pradesh by pointing out certain observations as under:-	Undertaking given by the Petitioner Company:
	a) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to preserve its books of accounts and papers and records and shall not be disposed off without the prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013.	a. The Petitioner Company given undertaking to preserve the books of accounts and records of the Petitioner Companies in terms of Section 239 of the Companies Act, 2013.
	b) The Regional Director (RD) sought this Tribunal to direct the	b. The Petitioner Company given undertaking to comply with all

	Petitioner Company to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liability in any manner.	applicable provisions and statutory liabilities applicable and levied upon the Petitioner Company in terms of applicable law of land and even after sanctioning of the present Scheme of Amalgamation.
	c) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company, involved in the scheme to comply with Rule 17(2) of Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of RoC by the Petitioner Company.	c. The Petitioner Company given undertaking to file Form INC-28 with the RoC, AP as and when required under the law.
	d) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to file an application with RoC indicating the revised authorised capital and proof of paying prescribed fees due on revised capital after setting of that fee	d. The Petitioner Company given undertaking to file the appropriate application before the RoC for clubbing of the Authorised share capital and if required will pay fees on additional Authorised share capital in terms of the Scheme and Companies Act, 2013.

	already paid by Transferor Company.	
2	After examination of the Scheme, the Regional Director (RD) sought this Tribunal to direct the Petitioner Company	Undertaken given by the company in the same affidavit that
	(a) To comply with the provisions of Sections 232(3)(i) of the CA, 2013 and pay the differential fee upon such increase of capital after setting off the fee already paid by the Transferor Company.	The company undertakes to comply with the provisions of 232 (3) (i) of the Act.
	(b) To furnish NOC from all the secured creditors with regard to the several open charges exists against Transferor Company.	The company clarify that the company was into CIRP and resolution plan was approved by this Bench with an amount of Rs.25.30 Crores and same was successfully implemented.
	(c) To clarify / justify the reasons for choosing such an odd date i.e., appointed date mentioned in the scheme is 10.11.2021.	The Company clarify that the appointed date i.e., 10.11.2021 is the date of the order for approval of the Resolution Plan and hence, the said odd date is selected as appointed date.
	(d) To clarify / modify the scheme stating specifically the method of accounting to be followed by the petitioner companies on post sanction of the scheme, stating that In Clause 15 of the Scheme, it was stated that: "All the assets and liabilities shall be accounted as per '*Purchase*	The company clarify that the transferee company shall be treating the merger as "amalgamation in the nature of merger" and accordingly will use "pooling of interest method" as provided in Accounting Standard 14.

	Method' of accounting as prescribed. Whereas, as per clause 15(4) of the Scheme, it was stated that the amalgamation is in the nature of Merger and shall be accounted in the books of Transferee Company as per the provisions of AS-14/applicable IND-AS". It is to state that the contents stated herein above are contradictory to each other since it is stated to be followed Purchase Method of Accounting in former contention, whereas in later contention, it speaks about following *"Pooling of Interest Method"*.	
	(e) That the transferor company has to pay statutory dues Rs.16.67 lacs payable to the Commissioner of CGST, statutory dues payable in any shall be paid by the transferee company. In this regard, the transferee company shall furnish an undertaking before the Hon'ble NCLT.	The company clarify that the said dues have been paid off and proof payment has also attached in the petition as Annexure D.

12. The Regional Director (RD), after considering the said reply by the Petitioner, did not raise any further objection against accepting the Scheme of Amalgamation of the Petitioner Company.

13. The Official Liquidator (OL) made certain observations and the Petitioner Companies has filed reply to the report of the Official Liquidator (OL) which is as follows:

S.No	Observations of Official Liquidator filed on 20.06.2023 by dairy no.4031	Reply of the Petitioners Company filed on 11.09.2023
1	That the Clause 10 of Part I of the Scheme dealing with "Record Date" leaving it as undetermined and seeking to vest entire power to fix the Record Date completely with the Board of Directors of Transferee Company alone. Hence, this Hon'ble Tribunal may be pleased to direct the Transferee Company to submit an undertaking to this Hon'ble Tribunal to the effect that the Record Date would be decided and fixed mutually by the Board of Directors of Transferor and Transferee Companies immediately after sanction of the Scheme and before dissolution of the Transferor Company.	The Transferee Company undertakes that the Record Date would be decided and fixed mutually by the Board of Directors of Transferor and Transferee companies immediately after sanction of the Scheme and before dissolution of the Transferor Company.

2	That, Clause 11. (a) of Part-II of the Scheme seeks to protect the staff, and employees of the Transferor Company, if any, if they are in service as on the Effective Date. Hence, this Hon'ble Tribunal may be pleased to direct the Transferor Company to submit an undertaking (on an Affidavit duly notarized) to this Hon'ble Tribunal to the effect that there would be no retrenchment of any employee who were in service as on Appointed Date (10.11.2021) as well.	The transferor & Transferee Companies undertake that there will not be any retrenchment of any employee or employees of the transferor Company as on appointed date i.e., 10.11.2021.
3	As per the Balance Sheet as at 31st March, 2022, the Transferor Company is a loss making company.	The transferor and Transferee Companies confirms that a matter of record the Transferor Company is a loss making company, hence no comments
4	That, there are no pending Litigations or prosecutions under Insolvency and Bankruptcy Code, 2016, Companies Act 2013 etc., against the Directors or the Company as per the information provided by them on 06.03.2023.	The Transferor and Transferee Companies confirms that there are no pending litigations against the Transferor Company.

5	That, the Transferee Company comes under the jurisdiction of Hon'ble National Company Law Tribunal, Kolkata Bench and hence, the Hon'ble Tribunal may sanction the Scheme subject to the orders to be obtained from the Hon'ble National Company Law Tribunal, Kolkata Bench, as well.	The Petitioner Company confirms that the transferee Company has already filed an application before the Hon'ble National Company Law Tribunal, Kolkata bench.

14. The Official Liquidator (OL) after considering the said reply by the Petitioner Company, did not raise any further objections against accepting the Scheme of Amalgamation of the Petitioner Company.

15. We have heard the Ld. PCS for the Petitioner Company and perused the record.

16. Supreme Court in ***Miheer H. Mafatal V/s Mafatlal Industries Ltd JT 1996 (8) 205*** while considering the scope of the jurisdiction of the Company Court in respect of matters of sanction of the Scheme of Amalgamation as per the provisions of Section 391 read with Section 393 of the Companies Act, 1956, observed as under:

> *"It is commercial wisdom of the parties to the scheme who have taken an informed decision about the usefulness and propriety of the scheme by supporting it by the requisite majority vote that has to be kept in view by the Court. The Court certainly would not act as a court of appeal and sit in judgment over the informed view of*

the concerned parties to the compromise as the same would be in the realm of corporate and commercial wisdom of the concerned parties. The Court has neither the expertise nor the jurisdiction to delve deep into the commercial wisdom by the creditors and members of the company who have ratified the Scheme by the requisite majority. Consequently, the Company Courts jurisdiction to that extent is peripheral and supervisory and not appellate."

In view of the above Supreme Court Judgment, this Tribunal is not supposed to examine the commercial wisdom of the shareholders and creditors.

17. On the basis of the above facts and submissions made by the learned counsel and by considering the entire facts and circumstances of the aforesaid company petition and on perusal of the Scheme and the proceedings, reports of the Regional Director and reply/undertakings of the Petitioner Company thereon and the documents produced on record, the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not in violation of any provisions of law, it appears that the requirements of the provisions of Sections 230 and 232 are satisfied by the Petitioner Company. We are of the considered view that the proposed Scheme of Amalgamation is bona fide and in the interest of the shareholders and creditors.

18. In the result, the Company Petition is allowed with the following directions:-

a) Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the Petitioner Company.

b) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

c) The Scheme of Amalgamation (Copy of the Scheme enclosed at Page No.**34 to 70** of the Petition) is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Company and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

d) The Scheme shall become effective from the Appointed Date i.e., **10.11.2021** and shall be made operational from the date of filing of the orders with the Registrar of Companies, Andhra Pradesh.

e) All the liabilities of the Investment Undertaking of the Transferor Company be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 and 232 of the Companies Act, 2013, be transferred

to and become the liabilities and duties of the Transferee Company.

f) All contracts, agreements, insurance policies, bonds and all other instruments of whatsoever nature or description, of the Investment Undertaking of the Transferor Company, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually against the Transferee Company.

g) All taxes paid or payable by the Investment Undertaking of the Transferor Company including existing and future incentives, un-availed credits and exemptions, benefit of carried forward losses and other statutory benefits, shall be available to and vest in the Transferee Company.

h) All proceedings now pending by or against the Investment Undertaking of the Transferor Company, if any, shall be continued by or against the Transferee Company.

i) All employees in the service of the Investment Undertaking of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company on date on which the scheme finally takes effect on the basis that their services shall be deemed to have been continuous and not have been interrupted by reasons of the said transfer and on terms and

conditions no less favourable than those on which they were/ are engaged, as on the Effective Date.

j) The Petitioner Company is directed to preserve their books of accounts and papers and records and not to dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

k) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

l) The Petitioner Company is further directed to file a copy of this order along with the copy of the Scheme with the Registrar of Companies, Andhra Pradesh electronically, along with e-form INC-28 in addition to physical copy within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

m) Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and if it is found that the Scheme of Amalgamation ultimately results in tax avoidance or is not in accordance with the applicable provisions of Income Tax Act, then the Income Tax Department shall be at liberty to initiate appropriate course of action as per law. Any sanction of the Scheme of Amalgamation under Sections 230-232 of the Companies Act, 2013 shall not adversely affect the rights of

Income Tax Department or any past, present or future proceedings and the sanction of the scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

n) The Petitioner Company is directed to issue newspaper publication with respect to approval of Scheme of Amalgamation, in two daily newspapers i.e., one in Business Standard (English Daily) and another in Andhra Jyothi (Telugu Daily) were issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

o) The Petitioner Company is further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamation under the provisions of the Act.

p) The Petitioner Company is also directed to strictly comply with all the Undertakings given by them including those with regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

q) The Petitioner Company is directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

r) Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

19. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA)/3/230/AMR/2023 connected with CA(CAA)/8/230/AMR/2022 is allowed and stands disposed of, in terms of the above order.

Sd/- Dt.10.01.2024
SANJAY PURI
MEMBER (TECHNICAL)

Sd/- Dt.10.01.2024
RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Swamy Naidu (PS)